HOUSING, FAMILY, AND HOUSEHOLD WEALTH

RESEARCH AND TEACHING

Eirik Eylands Brandsås (Federal Reserve Board)

Reykjavík University, 29 October 2026

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RESEARCH OVERVIEW

- What? Household wealth accumulation and housing decisions
  1. Housing and Financial Frictions
  2. Intergenerational Transfers

- Why? Wealth is important for welfare, housing, and inequality

- How? Life-cycle models of consumption-savings ▸ Model
  - Start: young and poor ⇒ save for self-insurance and housing
  - Middle: peak income ⇒ save for retirement
  - End: drawing down wealth ⇒ save for bequests

STRAND 1: HOUSING AND FINANCIAL FRICTIONS

- Housing markets have many frictions
  - ⇒ Housing choices matter for other outcomes
  - ⇒ Financial innovation can lower frictions

- "Partial Homeownership: A Quantitative Analysis" (JFE, 2026) w. Kvaerner (BI Norway)

- "Decoupling Tenure & Trading Up: Evidence from Single Family Rental Expansions" (in progress) w. Gorback (UT-Austin), Hong (MSU), & Qian (UNC)

- "Household Stock Market Participation and Exit: The Role of Homeownership" (working paper) solo-authored

PARTIAL HOMEOWNERSHIP: A QUANTITATIVE ANALYSIS

MOTIVATION

- Should I buy **or** rent?
- Big **binary** decision
- Smoothing out the rent/own decision increases welfare
- How to smooth? Partial Ownership
  - Convex combination of renting and owning (e.g., own 50% and rent 50%)
- **PO contracts are increasingly common but not studied**
  - E.g., England, Australia, China, Norway, Sweden, US, Iceland ▸ PO in the wild
  - Norway: builders and fintechs offer PO

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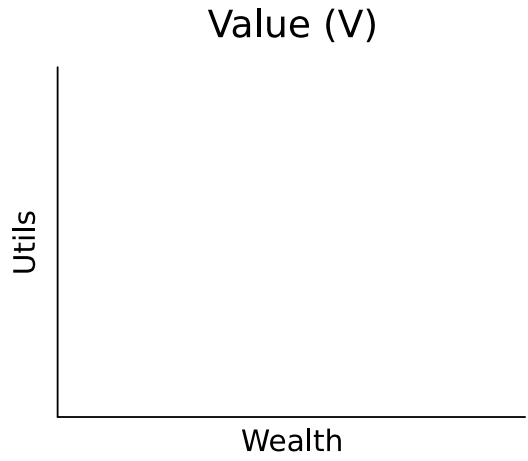
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  - – Stimulate borrowing

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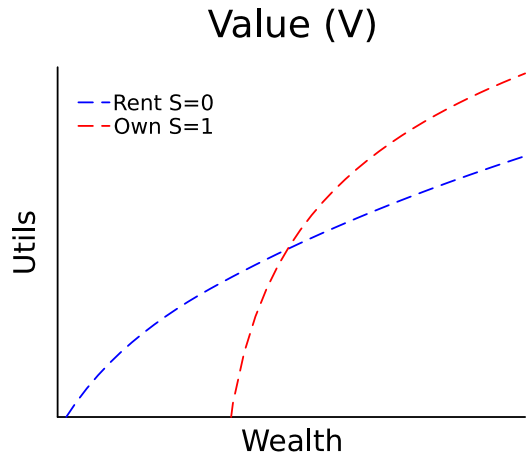
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  - Welfare gains largest at threshold
  - 'Marginal' owners also benefit



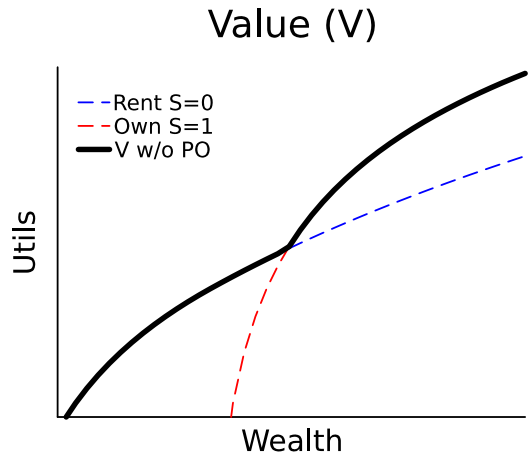
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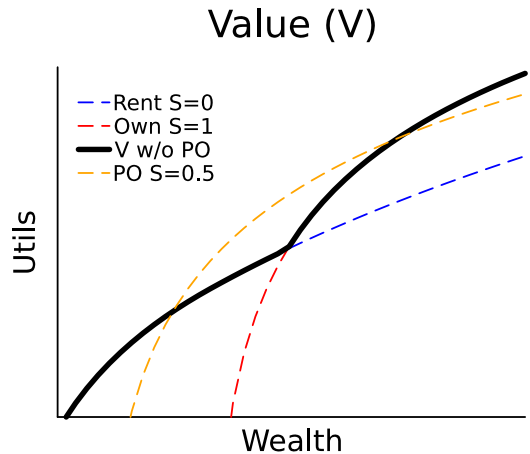
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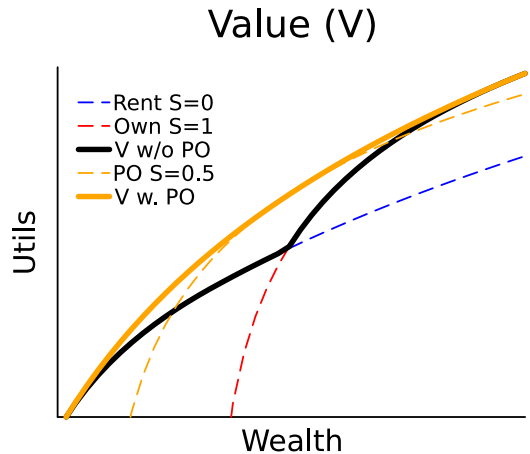
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BENCHMARK MODEL WITHOUT PARTIAL OWNERSHIP

Life-cycle model with own/rent choice e.g., Cocco (2005), Campbell and Cocco (2007)

- Utility over goods and housing
- Frictional housing market
- Two-step estimation: fits data well

Add PO

- Real Norwegian contract: own 50–90%, can buy up but not down ▸ Contract example
- Why model? No data (yet) on outcomes

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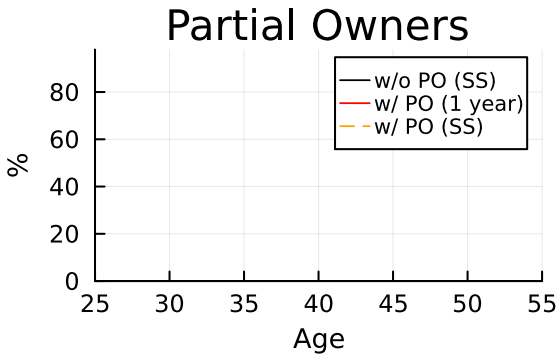
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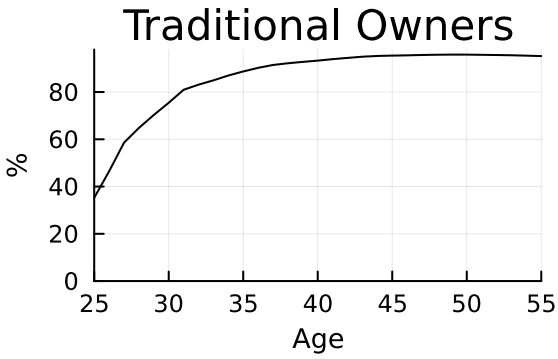
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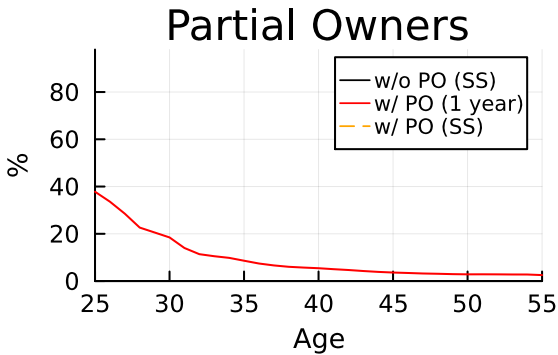
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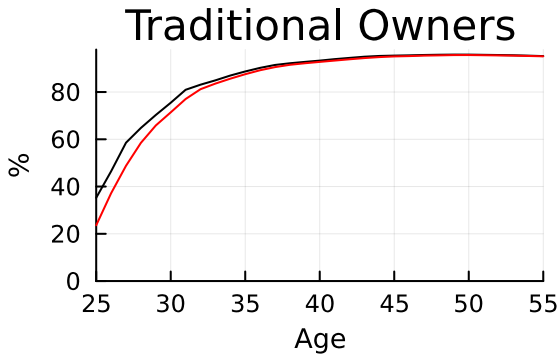




- **Short run**: PO mainly crowds out renting
- **Long run**: PO also crowds out traditional homeownership
- **Debt**: more but safer debt ▸ Welfare ▸ DTI

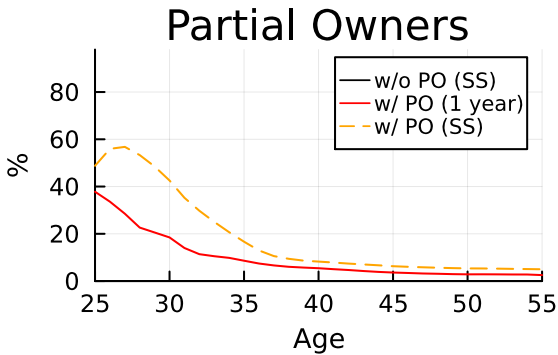
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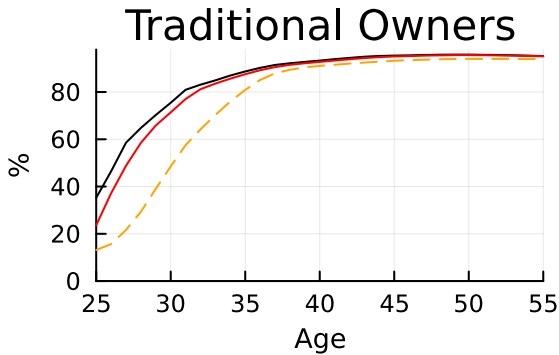




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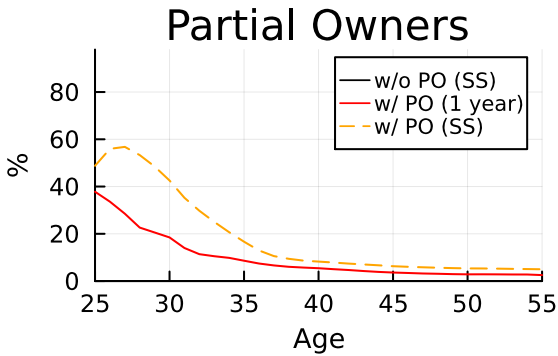
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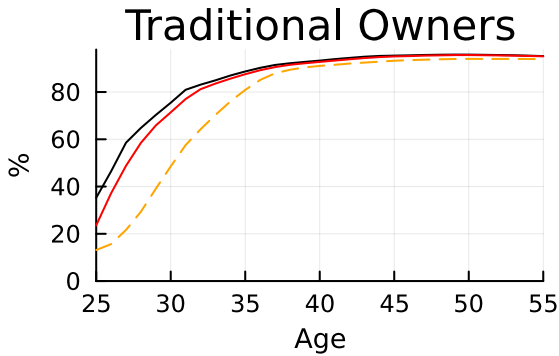




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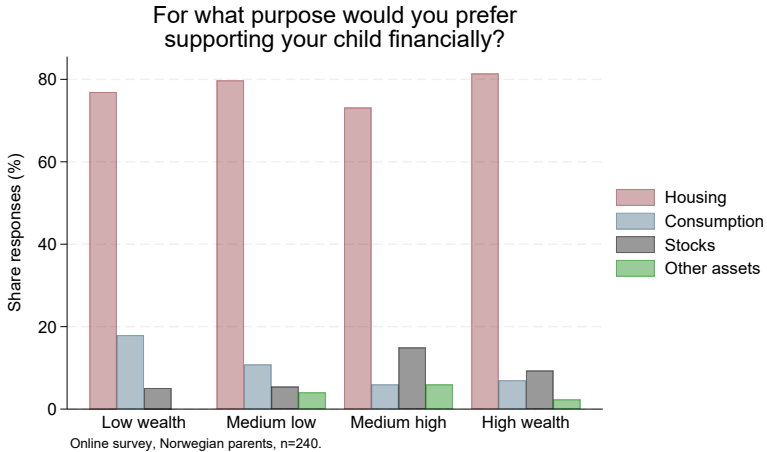
RESEARCH STRAND 2: BANK OF MOM AND DAD

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- Start: Do parents help children enter housing, and who can?
  - Bank of Mom and Dad (solo, R&R, AEJ:Macro); Housing Channel (R&R, JFE)
- Middle: Why does early help become wealth later in life?
  - Housing Channel (R&R, JFE)
- End: How do expected inheritances change saving?
  - Waiting for Wealth (in progress)

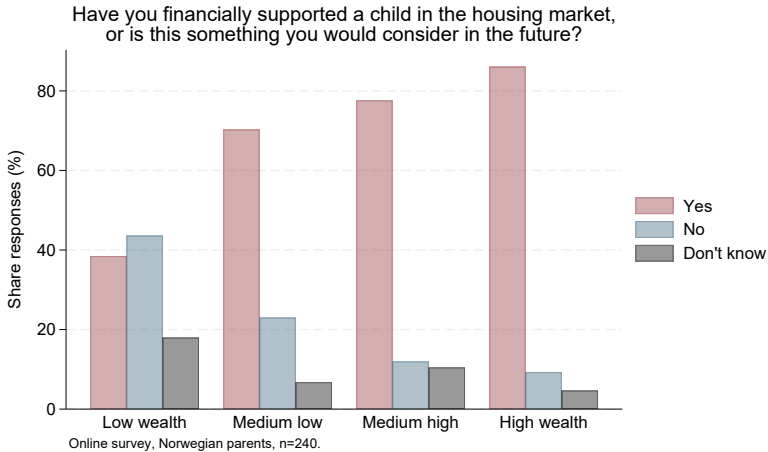
PARENTS WANT TO HELP WITH HOUSING

Start: entering housing · Middle: building wealth · End: inheritance



. . . BUT ONLY WEALTHY PARENTS ACTUALLY DO

Start: entering housing · Middle: building wealth · End: inheritance



RICHER PARENTS, MORE HOMEOWNERS AT 30

Start: entering housing · Middle: building wealth · End: inheritance



WEALTHY PARENTS HELP CHILDREN KEEP THEIR HOMES

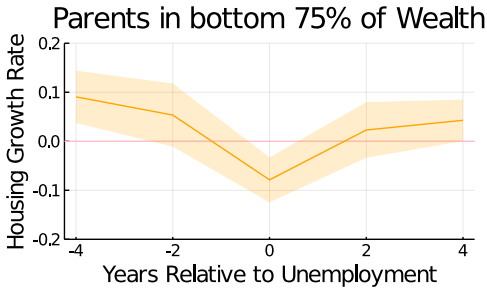
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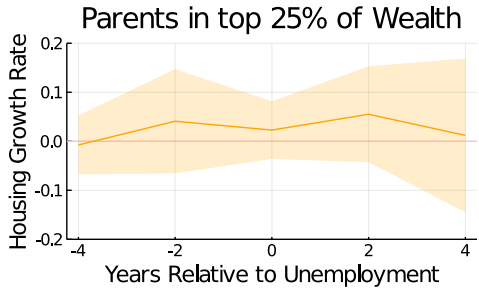
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  - Parents in bottom 75%: children downsize
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- Summary: Transfers aid entry and retention of ownership
  - Question: What if there were no transfers?
- Life-cycle model with overlapping generations of parents and children
- Altruistic inter-vivos transfers to adult children
- Rent or own decisions
- Takeaways: altruism accounts for 27% of young homeownership

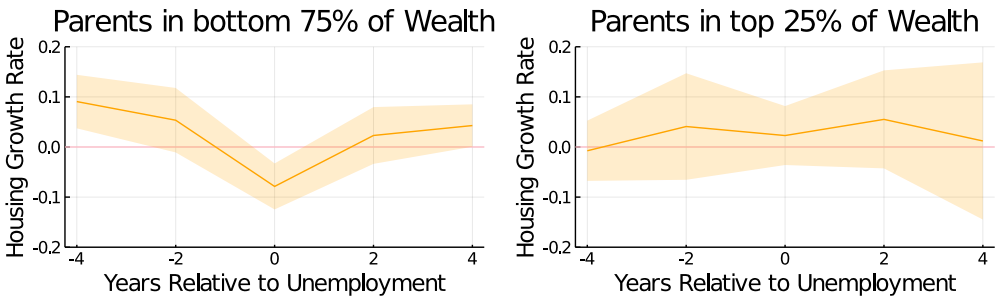
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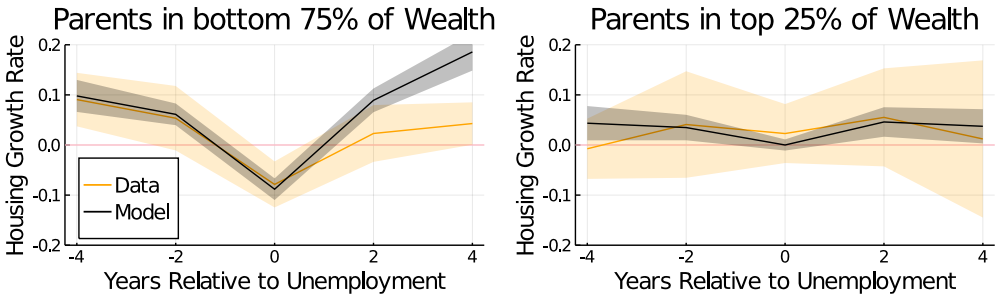
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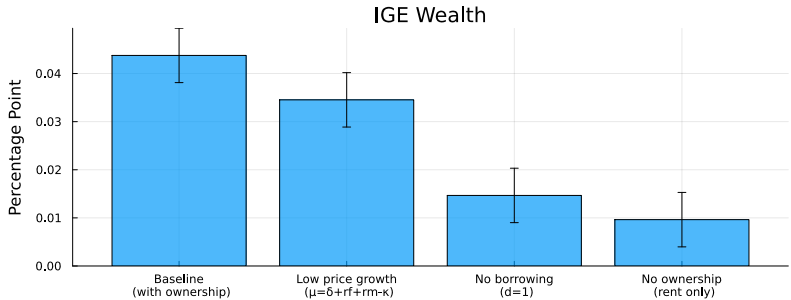
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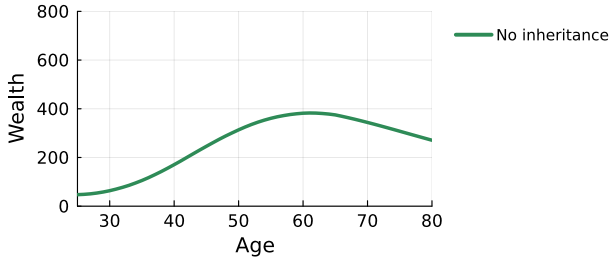
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EXPECTED INHERITANCES CHANGE SAVING EARLY IN LIFE

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- Standard life-cycle model ignores them
- Households anticipate inheritances and save less



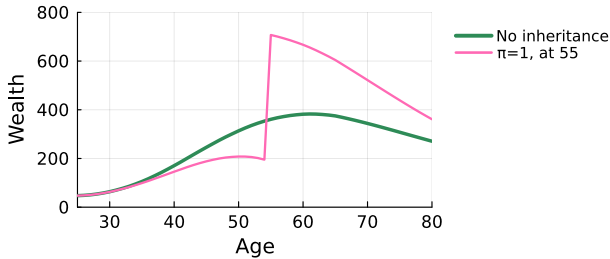
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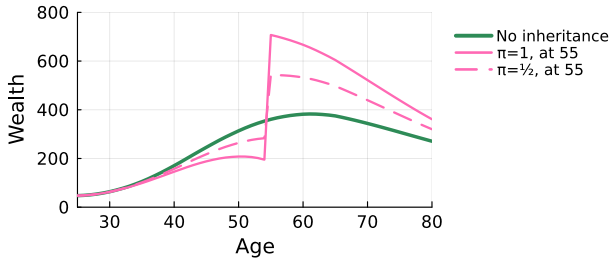
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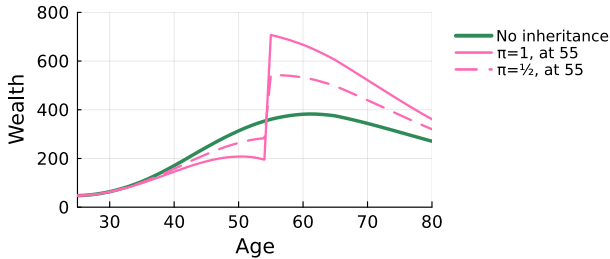
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WHAT'S NEXT

- Wrap up R&Rs and submit working papers
  - New ongoing work on data centers
- Housing frictions: Zoning and rental reforms
  - Iceland: Parking and zoning reforms in RVK or transit (Borgarlínan)
- Intergenerational transfers: "Housing careers"
  - Iceland: deCODE? Long genealogical records?

TEACHING

HOW I TEACH

- Make abstract ideas concrete
  - Fixed points: a map of the classroom, left in the classroom
  - Options: derivatives on airport snowfall
- Active learning and student feedback
  - Mid-semester feedback ⇒ slower pace, less material but deeper
- Two teaching awards and strong evaluations at UW–Madison ▸ Evaluations
- At the Fed: presenting to the Board, writing for policymakers, mentoring RAs

COURSES

Existing courses

- Macroeconomics I & II
- Econometrics, Statistics, Mathematics
- Financial Markets
- MSc: Applied Derivatives
- Theses

New courses

- Introduction to Financial Decision Making
  - Mortgages, portfolio choice, investing, "basics" of personal finance ▸ Syllabus
- Real Estate Economics ▸ Syllabus
  - Housing markets, valuation, policy
- Computational Methods
  - Julia, git, data, and AI tools

AI IN THE CLASSROOM

Use it for

- Feedback on problem sets before submission
- Teach how to use it
- Tutoring at the student's own pace

Dangers

- AI as a crutch: nothing is learned
- Take-home work no longer tests student knowledge

In practice

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QUESTIONS

BACKUP: A LIFE-CYCLE MODEL

- Households live for T periods, work until retirement at T_R
- Hump-shaped deterministic income + transitory and persistent shocks
- Each period: choose consumption c and savings a', income y is uncertain

$$V_t(a, y) = \max_{c, a'} u(c) + \beta \mathbb{E}_t \left[V_{t+1}(a', y') \right] \quad \text{s.t.} \quad c + a' = (1 + r)a + y, \;\; a' \geq 0$$

- Savings motives: smooth consumption, self-insure against risk, fund retirement
- My work adds: housing (lumpy, illiquid) and parents (transfers, inheritances)

▸ Return

WELFARE: WILLINGNESS TO PAY FOR PO

- Welfare measure: WTP to have access to PO contracts
- **Mean WTP: 10%** of income for young households (≈$3,500)
- High WTP driven by households that are:
  - low-income
  - renting
  - face high house prices

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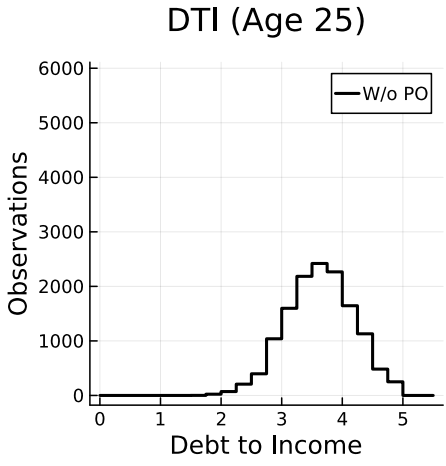
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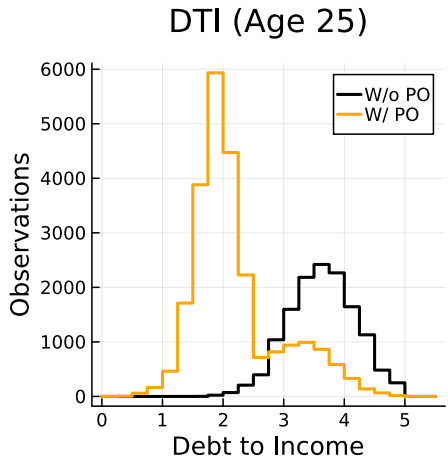
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- No PO: Households against constraint
- PO increases # of borrowers
- PO decreases right tail of debt
- **Trade-off**
  - Aggregate debt ↑
  - Right tail ↓



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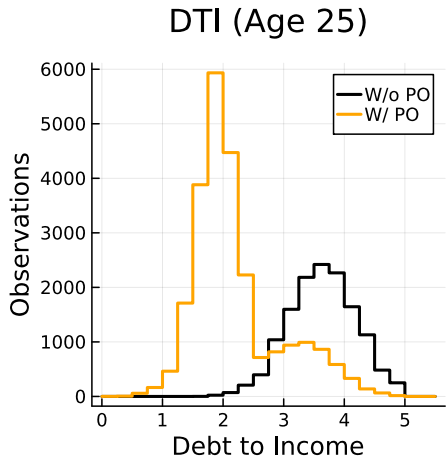
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▸ Return

DTI DISTRIBUTION – BORROWERS AGED 25

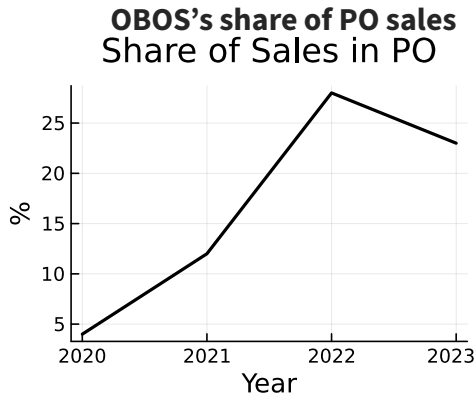
- Norwegian FSA and Norges Bank, 2023: PO may increase financial vulnerability
- No PO: Households against constraint
- PO increases # of borrowers
- PO decreases right tail of debt
- **Trade-off**
  - Aggregate debt ↑
  - Right tail ↓



▸ Return

PARTIAL OWNERSHIP IN THE WILD

- US: Fintech startups (Quarter)
- UK, NZ, AU: welfare programs
- Norway, Sweden: Multiple builders offer PO since 2020 + fintech startups
- Iceland: Stefnir (Arion Banki) via Aparta. E.g., Reir20, G1, S8-Sameign
- China: Pilot programs in large cities. Currently 140,000 units in Shanghai



Note: 2023 through February. Source: OBOS

▸ Back to Motivation ▸ Back to DTI

OBOS CONTRACT EXAMPLE

Pris | Bostartpris | **Deleiepris** | Boligbytte

Price, Bostart price, PO price, House Swap

Eierandel — Ownership Share (S)

50 % · 60 % · 70 % · 80 % · 90 %

Totalpris med OBOS Deleie: Total purchase price

kr 5 410 988

Totalprisen for boligen – innskudd + fellesgjeld + omkostninger.

Innskudd: kr 2 618 000 Price of your share

Innskudd er delen av totalprisen du skal finansiere, som ikke er dekket av fellesgjelden til borettslaget.

Fellesgjeld: kr 2 772 000 Debt tied to your share

Fellesgjelden er lånet vi har forhandlet fram for borettslaget. Du er ansvarlig for den delen av fellesgjelden som er knyttet til boligen din.

Omkostninger: kr 20 988 Transaction costs

Omkostninger er en engangskostnad som dekker offentlige avgifter, tinglysingsgebyr m.m.

Driftskostnader og nedbetaling av fellesgjeld år 1-5: kr 14 402 Monthly mainteance and debt payemnts years 1-5

De første fem årene betaler du renter på din del av fellesgjelden og driftskostnader.

Driftskostnader og nedbetaling av fellesgjeld fra år 6: kr 16 684 Monthly mainteance and debt payemnts years 6+

Fra det sjette året betaler du avdrag og renter på din del av fellesgjelden og driftskostnader.

Leie per måned: kr 6 450 Monthly rent

Leien er for andelen av boligen som OBOS eier. Felleskostnadene kommer i tillegg, samt kapitalkostnader på borettslagets fellesgjeld.



▸ Return

BACKUP: TEACHING AWARDS AND EVALUATIONS

Awards

- Distinguished Teaching Award, Wisconsin School of Business, 2016
- Distinguished Teaching Assistant, UW–Madison Economics, Spring and Fall 2017

Student evaluations (UW–Madison, 1–5 scale)

Term	Course	Median	Mean	Dept. mean
F 2015	Undergrad derivatives (Finance)	5	4.70	n/a
S 2016	Undergrad derivatives (Finance)	5	4.47	n/a
F 2016	PhD macroeconomic theory (Economics)	5	4.28	4.12
S 2017	PhD macroeconomic theory (Economics)	5	4.75	4.14
F 2017	PhD macroeconomic theory (Economics)	5	4.58	4.11

▸ Return

BACKUP: INTRODUCTION TO FINANCIAL DECISION MAKING (BSC) – SYLLABUS

- Builds on macro and micro (saving, time dynamics)
- Six topics, about two weeks each
  - W 1–2: Financial literacy basics (time value, budgeting, life cycle)
  - W 3–4: Borrowing and student loans, high-cost credit
  - W 5–6: Housing and mortgages (rent vs. own, inflation indexing)
  - W 7–8: Investing and portfolio choice (diversification, Merton–Samuelson)
  - W 9–10: Insurance, retirement, tax planning, inheritances
  - W 11–12: Mistakes: behavioral biases, bad advice (influencers and celebrities)
- Important: culture, background, gender all change perspectives

▸ Return

BACKUP: REAL ESTATE ECONOMICS (BSC) – SYLLABUS

- Builds on corporate finance and valuation
- Six topics, about two weeks each
  - W 1–2: The real estate system (property types, rent vs. own)
  - W 3–4: Land, cities, and regulation (land prices, zoning, densification)
  - W 5–6: Commercial real estate (leases, NOI, valuation with cap rates and DCF)
  - W 7–8: Development and real estate asset pricing (price–rent ratios, returns)
  - W 9–10: Debt and equity (mortgages, indexed loans, CRE lending, REITs)
  - W 11–12: Capital markets and cycles (MBS, booms and busts, Iceland 2008)
- Include guest lectures (builders, investors, planners)

▸ Return